

Procurement Governance and Competitive Sourcing Policy

Defines the fictional airline's procurement principles, competitive-sourcing thresholds, exception evidence, and recordkeeping expectations.

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Classification	SYNTHETIC INTERNAL DEMO	Source status	APPROVED SYNTHETIC CONTENT
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**AGENT USE AND SAFETY
BOUNDARY**

Decision support only. Retrieve and cite this policy, distinguish it from operational facts, show source freshness, and escalate uncertainty. Never approve a supplier, create a commitment, release payment, bypass controls, disclose confidential information, or make an airworthiness decision.

PROC-GOV-001 Purpose and scope

This policy applies to all synthetic purchases of goods and services, including MRO parts, fuel, ground handling, catering, IT and cloud, facilities, uniforms, and professional services.

The policy governs sourcing and decision evidence. It does not replace technical, safety, finance, legal, or delegated-authority review.

PROC-GOV-002 Core procurement principles

Buyers must act fairly, document business need, protect confidential information, avoid conflicts, use approved suppliers, and preserve an auditable link from requisition through payment.

Requirements must not be split or sequenced to avoid a sourcing threshold or approval level.

PROC-GOV-003 Competitive-sourcing thresholds

The expected aggregate commitment includes the base term, options, extensions, change orders, recurring charges, and known related demand. Use the higher credible estimate when scope is uncertain.

Aggregate value (USD)	Minimum sourcing route	Required evidence
Up to 25,000	One written quotation or catalogue evidence	Need, price reasonableness, budget, buyer record
25,001 to 100,000	At least three competitive written quotations	Evaluation record and conflict declaration
Above 100,000	Formal RFP or approved competitive tender	Published criteria, evaluation panel, award rationale

PROC-GOV-004 Single-source and sole-source exceptions

A single-source request must state why competition is impractical, the consequences of delay, alternatives considered, price-reasonableness evidence, supplier due-diligence status, and the approving authority.

Urgency created by poor planning does not by itself justify an exception. AOG events follow the separate AOG procedure.

PROC-GOV-005 Category and contract controls

Buyers must use an active contract when one covers the requirement and has sufficient value headroom. Expiring, expired, or suspended contracts require documented review before a new commitment.

Category owners should aggregate demand where doing so improves leverage without increasing operational risk.

PROC-GOV-006 Conflicts, gifts, and confidential information

Participants must disclose actual, potential, or perceived conflicts and must not accept gifts, travel, entertainment, or benefits that could influence a procurement decision.

Bid information, pricing, evaluation notes, credentials, bank data, and personal data must be shared only with authorised roles.

PROC-GOV-007 Records and audit trail

Retain the requisition, sourcing evidence, evaluation, approvals, contract, PO, receipt, invoice, exceptions, and material communications according to the approved corporate retention schedule.

The synthetic demo assumes a seven-year retention target, but production teams must replace it with the airline's approved schedule.

PROC-GOV-008 Escalation and agent boundary

Escalate policy ambiguity, screening holds, conflicts, suspected fraud, threshold splitting, and material exceptions to the accountable human owner.

An AI agent may retrieve policy and summarise structured facts. It must not approve a supplier, waive competition, create a commitment, or provide a legal conclusion.

Escalation route

Escalate suspected conflicts, supplier screening holds, threshold splitting, undocumented single-source requests, or material policy uncertainty to Procurement Governance and Legal.

Synthetic content notice

This document is fictional and was created solely for an AI agent demonstration. Replace every policy, threshold, owner, approval route, retention period, and procedure with approved enterprise content before production use.